



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會
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10 July 2002

Circular to SFC's Registered Intermediaries

**Money Laundering –
(1) Non-cooperative Countries and Territories (“NCCTs”); and
(2) US President’s Executive Order**

(1) Non-cooperative Countries and Territories

Further to our circulars dated 14 December 2001 and 25 February 2002, we would like to draw your attention to the removal of the following four jurisdictions from the list of NCCTs by the Financial Action Task Force (“FATF”).

Hungary	Lebanon
Israel	St. Kitts and Nevis

The FATF decided to remove these jurisdictions from the list of NCCTs at its recent Plenary Meeting, recognising that they have addressed the identified deficiencies through the enactment of legal reforms and by adoption of concrete steps to implement these reforms. Consequently, the procedures prescribed in Recommendation 21^{Note} of the FATF Forty Recommendations have been withdrawn.

No new NCCTs have been identified and the updated list of the remaining 15 NCCTs is as follows:

Cook Islands	Indonesia	Niue
Dominica	Marshall Islands	Philippines
Egypt	Myanmar	Russia
Grenada	Nauru	St. Vincent and the Grenadines
Guatemala	Nigeria	Ukraine

^{Note} Recommendation 21: Financial institutions should give special attention to business relations and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply the FATF Forty Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies.

Registered intermediaries are advised to continue to give special attention to businesses and transactions with persons, including companies and financial institutions, in the above NCCTs, in accordance with Recommendation 21^{Note} of the FATF Forty Recommendations.

The FATF has previously called on its members to apply further counter-measures to Nauru because of its inadequate progress made to address the serious deficiencies in its anti-money laundering regime. Due to the failure of Nauru to address the deficiencies of its offshore banking sector, the FATF decided at its recent Plenary Meeting that counter-measures should continue to be applied against Nauru. Accordingly, registered intermediaries are therefore advised to continue to apply such further counter-measures against Nauru as set out in our previous circular dated 14 December 2001.

The FATF will regularly review the NCCT list. Changes to the list, if any, will be conveyed to registered intermediaries through similar circulars in due course. Further information on the FATF work in respect of NCCTs is also available on the website of FATF at www.fatf-gafi.org.

(2) US President's Executive Order

Further to our circular dated 15 May 2002, we would like to inform you that the US Government designated two additional terrorist groups under the US President's Executive Order 13224 (the "Executive Order") on 27 June 2002. These two additional entities were treated as an addendum to the thirteenth list which was previously designated. A copy of the addendum is attached for your reference.

Registered intermediaries should check whether they have had transactions or dealings with these entities. In order to fulfil the obligations under section 25A of the Organised and Serious Crimes Ordinance, registered intermediaries should promptly

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report to the JFIU in the usual way if such reviews reveal any suspicious accounts, transactions or dealings.

As the designated entities and individuals under the Executive Order may be updated by the US Government from time to time, you are reminded to browse the website of the Office of Foreign Assets Control under the US Treasury at www.ustreas.gov/ofac for the latest information.

Intermediaries & Investment Products
Securities and Futures Commission

EXECUTIVE ORDER 13224 ASSET FREEZE LIST
Addendum to List 13

Babbar Khalsa International

International Sikh Youth Federation (ISYF)